Everpure

P | NYSE | 2026-10-07

Q4 2027 model ceiling: USD 83.55

Analytical Base 43/60 = 72 | Competitive platform / temporal supply advantage

20x forward-four-quarter GAAP operating profit divided by end-window diluted shares. SBC remains in expense. No net-cash uplift: reported liquidity is reserved for component prebuys, subscription assets and operations; no funded financial debt at the latest filing. No analyst target or revenue multiple.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,474.2	20x	352.900	83.55

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

The thesis and the limitation

Everpure, formerly Pure Storage, trades as P on the NYSE. It sells an integrated flash storage and data-management platform, with recurring subscriptions and a growing hyperscale product business. Its strongest argument is that customers pay for useful, reliable data access, upgradeability, space and power savings rather than NAND chips alone. DirectFlash and the Purity software architecture can improve those system economics. They do not give Everpure ownership of all AI storage spending or a monopoly on storage software.

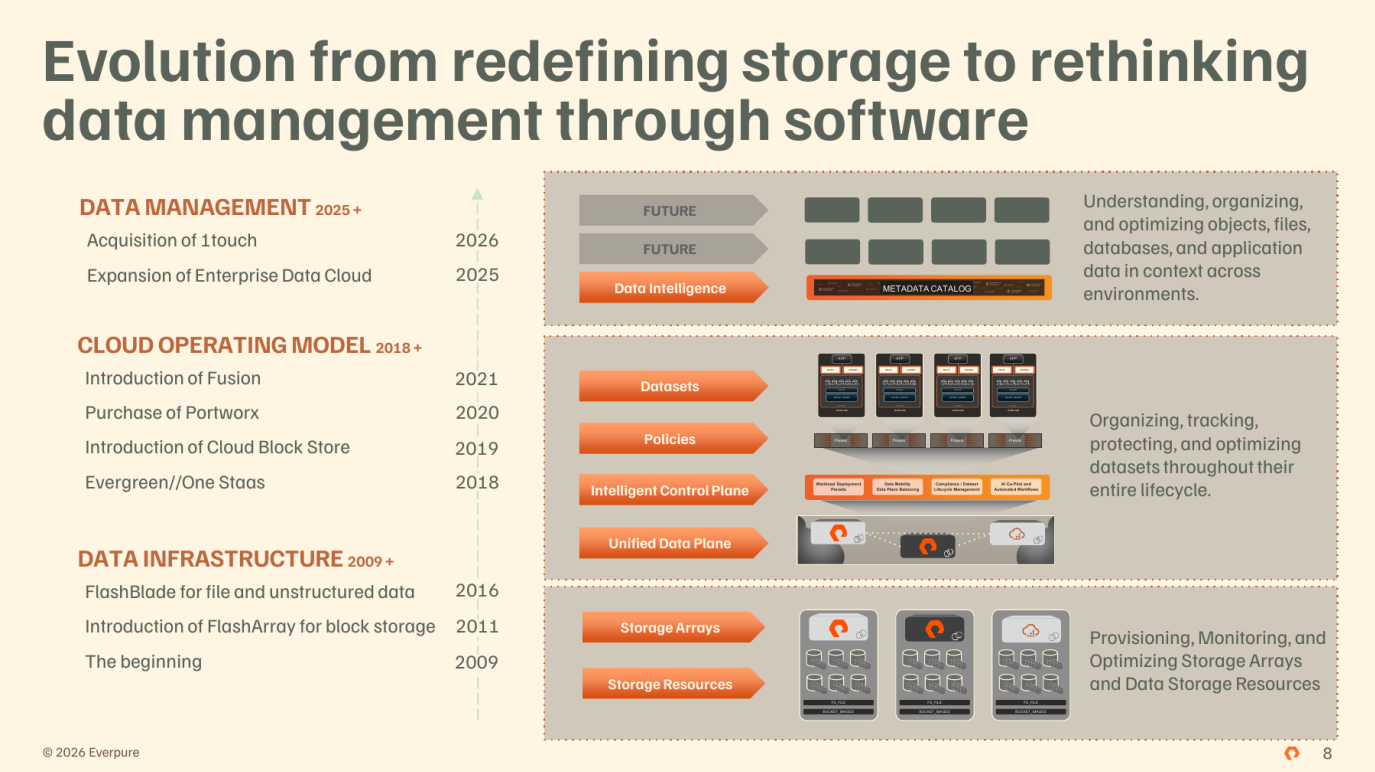
The company is entering a much larger revenue base. The September 23 Financial Analyst Meeting reaffirmed FY2027 revenue of $5.03-$5.07 billion and introduced preliminary FY2028 revenue of $7.0-$7.3 billion, with $1.7-$1.9 billion of non-GAAP operating income. This model takes that newer outlook seriously. It also retains stock compensation and the other operating costs that separate adjusted profit from GAAP profit. The resulting Q4 2027 ceiling is $83.55 using 20 times forward-four-quarter GAAP operating profit and end-window diluted shares. A compelling technology does not by itself justify any purchase price.

How the product earns its revenue

FlashArray serves block-oriented enterprise applications; FlashBlade serves file and unstructured data. FlashBlade//EXA targets high-performance AI and neocloud environments. DirectFlash moves flash-management logic into a coordinated software architecture instead of treating each commodity SSD as an independent black box. That can improve control over media management, data placement, reliability and upgrade cycles. Customers must still qualify the product against their actual latency, throughput, failure-recovery and cost requirements.

Evergreen support and subscription offerings extend the relationship beyond an initial array sale. Evergreen//One charges for consumed storage under service commitments. It creates recurring revenue but requires deployed assets, component purchases and support before every dollar of contracted value becomes recognized revenue. Product revenue also includes certain term software licenses. Therefore product versus subscription is an accounting split, not hardware versus pure software.

The four strategic growth vectors presented in September are Core/Core AI, Modern Data Software, Scale AI and Hyperscale Solutions. They are commercial categories rather than four reported financial segments. This model uses three disjoint operating vectors: core product/term software, a separately estimated hyperscale product allocation, and subscription services. EXA and modern software remain inside those totals; they are not added a second time.



Everpure Q2 FY27 earnings presentation, Aug 26 2026, p8 | Issuer architecture: data infrastructure, cloud operating model and data management. Roadmap labels are forward-looking.

What the latest results actually say

Q2 FY2027 ended August 2, 2026. Revenue was $1,185.898 million, comprising $686.773 million product and $499.125 million subscription services. Gross profit was $811.388 million. R&D of $293.749 million, sales and marketing of $346.077 million and G&A of $108.407 million left GAAP operating profit of $63.155 million. The reported $230 million adjusted operating profit is a different metric. Stock compensation alone was $159.815 million across cost of sales and operating expenses.

In the May 27 prepared remarks, management described price increases and customers buying ahead of future increases, with product margins deliberately held near the lower end of the long-term range. In the August 26 remarks, management said system unit volumes fell while price, mix and capacity increased. This matters: 54% product-revenue growth is not evidence that physical systems shipped grew 54%. The model uses accepted revenue and gross-profit capture, with a separate capacity and price discussion, rather than imposing the sales-growth rate on units.

The recurring indicators are strong but overlap. Q2 subscription ARR was $2.134 billion; RPO was $4.089 billion, up 44%; and storage-as-a-service TCV was $277 million, up 121%. ARR measures annualized active recurring contracts, RPO includes future contracted recognition, and TCV measures orders across their contract lives. Adding these figures together would count the same customer commitments more than once. Faster activation above the reference is the only incremental subscription branch.

Q2FY27 Everpure at a Glance

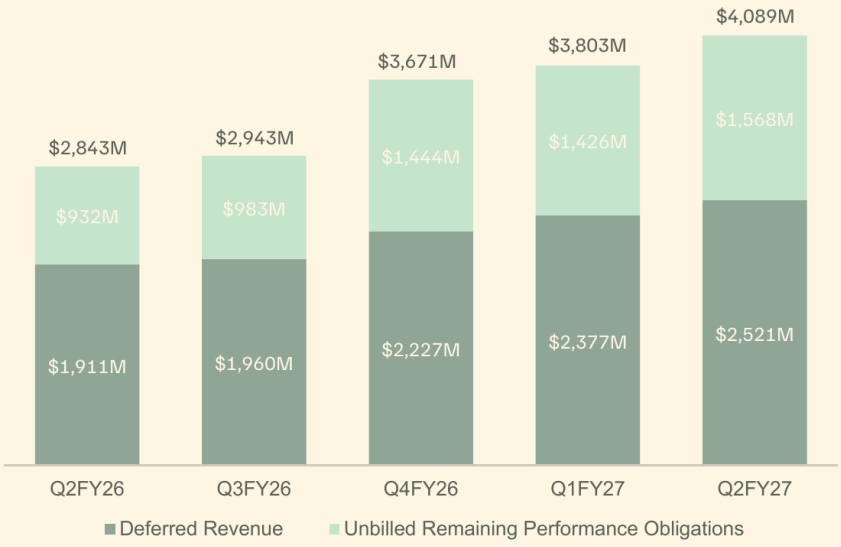
Total Revenue **$1.19B** 38% Y/Y Growth	Subscription ARR (1) **$2.13B** 20% Y/Y Growth	Storage as a Service Offerings (2) **$277M** 121% Y/Y Growth	Total Cash & Marketable Securities (3) **$1.01B**
Global Customers **14,500+** ~64% of Fortune 500	Customer Satisfaction **84 NPS** (4) One of the highest in the Industry	Non-GAAP Operating Margin (5) **19.4%** + 430 bps Y/Y	Remaining Performance Obligations **$4.09B** 44% Y/Y Growth

(1) Subscription ARR is a key business metric that refers to the annualized recurring contract value of all active, non-cancelable customer subscription agreements with subscription terms of any length at the end of the quarter, plus on-demand billings for the quarter multiplied by four.
(2) Total Contract Value (TCV) Sales, or bookings, of Everpure's Evergreen//One and similar consumption - and subscription-based offerings is an operating metric, representing the value of orders received during the period.
(3) Consists of cash in banks, cash equivalents (highly liquid investments with an original maturity of three months or less), and available-for-sale securities.
(4) Per Audited NPS customer score for 2025.
(5) See GAAP to Non-GAAP reconciliation in Appendix.

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Everpure Q2 FY27 earnings presentation, Aug 26 2026, p4 | Q2 FY27 issuer snapshot. ARR, TCV and RPO measure different stages of overlapping contracts.

Remaining Performance Obligations



44%+
RPO Q2FY27 YoY Growth

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Everpure Q2 FY27 earnings presentation, Aug 26 2026, p17 | RPO is future contracted revenue, not an extra revenue line to add to ARR or sales.

Hyperscale qualification and the actual revenue opportunity

The August 10 announcement confirms a design win and supply agreement with a second top-five hyperscaler. It does not disclose a contract value, minimum committed exabytes or the customer's identity. Management expects only a small FY2027 contribution from that customer and significant revenue from FY2028. The first customer's expected second-half ramp is already inside FY2027 guidance. The September FY2028 outlook also incorporates the expanding hyperscale business.

The reference therefore embeds the signed wins, assigning no duplicate award increment. It allocates $250 million of FY2027 product revenue and $450 million in FY2028 to hyperscale, then $750 million, $1.05 billion and $1.33 billion in FY2029-FY2031. These are explicit allocation assumptions within total revenue, not company guidance. The FY2028 allocation is about 6% of revenue. Changing this mix materially changes profit because management describes hyperscale product gross margins of 75%-85% on the adjusted basis. The model uses 79.5% as a forward GAAP proxy and includes the engineers and customer support in operating expenses. The adjustment is imperfect because product-specific SBC is undisclosed.

The technical opportunity extends beyond one storage workload: an integrated data plane may support AI training feeds, inference data retrieval, enterprise applications and selected hyperscale services. Cold archive remains a different economic contest. HDD capacity and low purchase cost can retain advantages where access speed, power density and footprint do not outweigh flash cost. The model does not assume that all HDD bytes convert to flash or that hyperscale qualification guarantees indefinite volume.

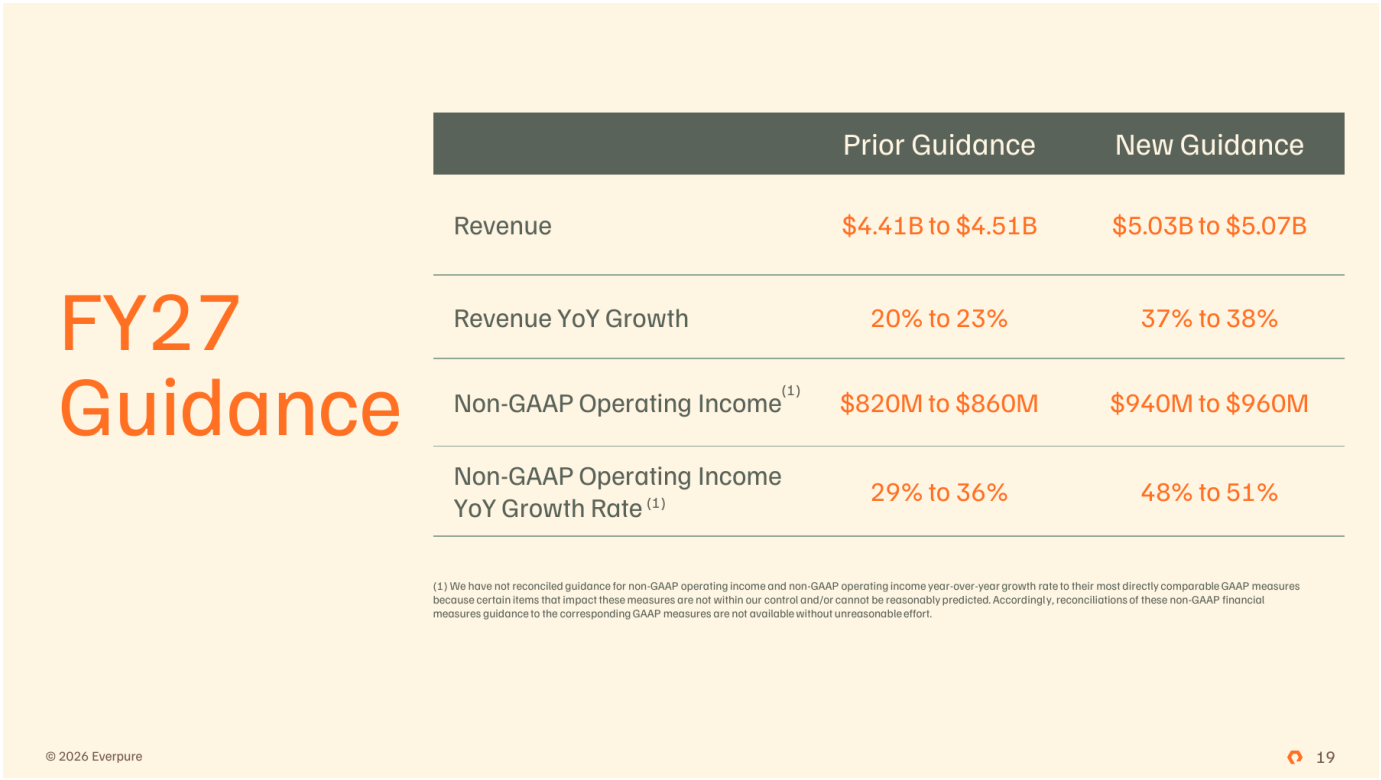
Guidance and the cost of growth

The reference sums to $5.05 billion FY2027 revenue. Actual first-half revenue of $2.238794 billion plus the $1.33 billion Q3 midpoint implies $1.481206 billion for Q4. The full-year reference GAAP operating profit is $284.094 million. Adding $665.906 million of reported and estimated non-GAAP exclusions produces $950 million, matching the guidance midpoint. Q3/Q4 exclusions of $175 million/$185 million are assumptions. The company does not guide future GAAP operating income, so this is a transparent analytical bridge rather than an issuer reconciliation.

For FY2028, the reference is $7.15 billion revenue: $4.0 billion core product, $450 million hyperscale and $2.7 billion subscription. Gross margins of 65.4%, 79.5% and 73.5% respectively produce $4.95825 billion gross profit. R&D of $1.4 billion, sales and marketing of $2.0 billion and G&A of $570 million produce $988.25 million GAAP operating profit. Assumed exclusions of $835 million imply $1.82325 billion adjusted operating profit, inside the new $1.7-$1.9 billion outlook.

These operating costs are deliberately larger than the latest quarterly run rate. The reference funds engineers, selling capacity, support and stock compensation. The component-price recovery is gradual, and subscription fleet depreciation stays in gross margin. Beyond FY2028, revenue growth slows to approximately 24%, 19% and 15% through FY2031; expense growth continues as the business scales. The longer-range improvement requires better absorption of a substantial cost base and continued renewal and customer acquisition. It is lower-confidence underwriting, not disclosed guidance.

The model calendar begins in Q3 2026 and extends through Q4 2030. Because the issuer fiscal year ends near January 31, each calendar quarter interpolates one-third of the preceding fiscal quarter and two-thirds of the fiscal quarter centered on the calendar quarter. It assumes even monthly recognition within a fiscal quarter. This is more explicit than relabeling fiscal periods as calendar actuals, but the true monthly delivery pattern is unavailable. Every rolling ceiling uses the displayed calendar quarter and its next three quarters.



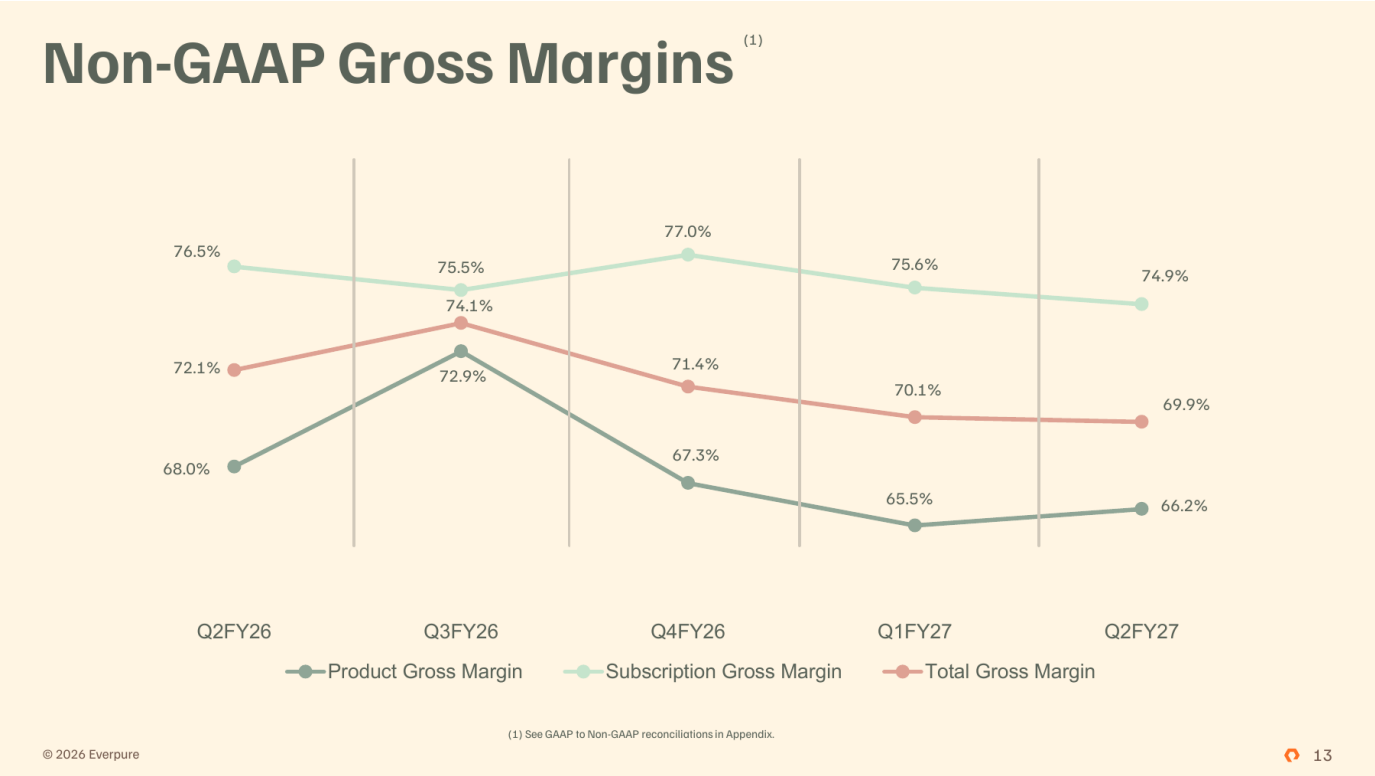
Everpure Q2 FY27 earnings presentation, Aug 26 2026, p19 | August FY27 guidance. September reaffirmed it and separately introduced FY28 outlook.

Pricing, incremental demand and overlap

Management's reported price increases are already in the reference. The additional repricing branch applies only from calendar 2027: a 60% probability of an extra 1%-2.5% price increase on 65% of core product revenue. The remaining sales are treated as protected or fixed terms. Of the added revenue, 55% reaches gross profit after component and fulfillment costs and 6% funds incremental selling expense. Thus 49% is conditional operating-profit capture before probability. This is a bounded inference from demonstrated customer willingness to pay, not an announced new price list.

The subscription branch assigns 55% probability to additional activation equal to 1.2%-4.5% of subscription revenue, above the already-growing reference. It captures 70% incremental gross profit after depreciation/support and incurs 18% incremental selling and customer-success cost. It does not capitalize the full signed TCV immediately. The two upside branches use separate product and subscription pools; they do not both claim the same contract's revenue.

A 25% adverse branch allows renewed unpassed NAND inflation equal to 0.8% of core product revenue. It reduces gross profit dollar for dollar. The stress concerns costs above the reference and above the costs already netted against new price revenue. It avoids treating component inflation as both a free selling-price benefit and a costless demand catalyst. The probability ledger shows conditional ranges and the evidence that would cause each assumption to change.



Everpure Q2 FY27 earnings presentation, Aug 26 2026, p13 | Issuer adjusted product/subscription gross margins. Model valuations retain GAAP costs.

Cash, subscriptions and dilution

August-quarter cash and marketable securities totaled $1.007891 billion, excluding $8.214 million restricted cash. No funded revolving debt was outstanding; the facility provides $500 million of potential liquidity subject to terms. Prepaid expenses and other current assets rose to $1.025645 billion from $356.015 million at year-end, while management described strategic NAND/component purchases. Q2 operating cash flow was negative $136 million and free cash flow negative $238 million. Management expects operating cash flow to normalize and FY2027 free cash flow of $600-$800 million; that expectation must be tested against actual cash collections and component consumption.

The model does not add the cash balance to the earnings ceiling. Supply prebuys, subscription assets, capex and operations have a claim on liquidity. Nor does it assume a buyback program can permanently offset stock compensation at no cash cost. Q2 purchases retired about 0.932 million shares for $69 million, with a further $74 million employee-tax withholding outflow. Future repurchases are not guaranteed. As a stress test, two more quarters repeating $238 million negative free cash flow plus $143 million of repurchase and award-tax outflows per quarter would use $762 million, leaving about $246 million of the latest unrestricted liquidity before other financing or investment flows. Suspending only the discretionary repurchases preserves another $138 million. This is a mechanical stress, not a cash forecast; it shows why the expected working-capital recovery matters. The reference assumes that recovery and does not insert a financing issue, while the stress would require lower distributions, borrowing or a revised share schedule. A liquidity watch is triggered by another two quarters of material operating cash burn, prepaid balances that do not convert into sales, or a draw on the revolver accompanied by deteriorating margins.

Legal Class A shares were 333.227251 million as of August 31. The latest quarterly diluted weighted count was 345.587 million. The model starts at 346.5 million diluted shares and adds 0.8 million per quarter, reaching 360.1 million in Q4 2030. It uses the count at the end of each four-quarter earnings window. SBC is an operating

expense and the issued-share claim also affects value per share; neither is removed merely because the other is modeled. The share schedule is an assumption pending actual grants, vesting and buybacks.

Competition and second-order effects

The annual report identifies Dell EMC, HPE, Huawei, Hitachi Vantara, IBM and NetApp, as well as cloud providers and hyperconverged alternatives. Incumbents have enterprise relationships, bundled systems and substantial development resources. Customers face migration work and reliability risk when changing platforms, which can protect an installed base but can also make winning a new account difficult. Qualification is a barrier, not proof that alternative solutions are inferior for every workload.

Everpure benefits from NAND supply and architecture progress while NAND cost inflation can hurt its customers and near-term margins. That is different from a NAND producer whose realized memory price is its revenue driver. Covered HDD suppliers face selective flash substitution, balanced against growing total storage bytes and persistent cold-data economics. No automatic downgrade of STX or WDC follows from a second anonymous hyperscaler win. The new model gives company-specific commercial capture to Everpure; any update to another artifact would require its own workload and earnings bridge.

Score, catalysts and failure tests

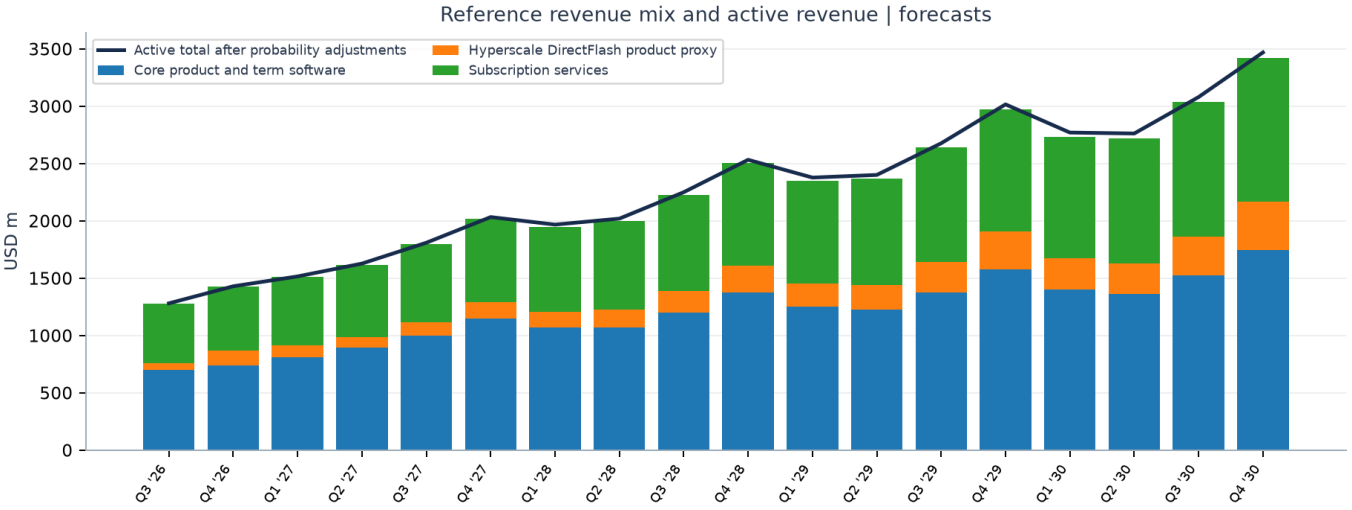
The analytical score is 43/60, rounded to Base 72: Core 17, Cycle 7, TAM 8, Catalysts 4, Macro 7, Alpha 3 and Risk minus 3. The three distinct risk classes are supply and working capital, adoption/customer concentration, and competitive/dilution economics. The opportunity is a competitive platform with a temporary supply advantage, not a proven irreplaceable physical chokepoint.

Near-term tests are the FY2027 second-half hyperscale ramp, the next RPO-to-ARR conversion, gross profit after higher component costs and cash recovery after prebuys. FY2028 tests the second design win's scale and the much larger revenue outlook. Failure would be visible in slipping acceptance, lower configurations overwhelming price increases, persistent cash burn, a rising cost-of-selling requirement, or a competitor solving the same customer problem at better delivered economics. Further customer-specific contract disclosure, actual GAAP expense conversion and qualified capacity are more valuable than multiplying a broad AI-storage market estimate.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Qualified software/flash architecture with recurring services; no monopoly.
Cycle	7	Tight components support pricing but prebuys and unit reductions temper strength.
TAM	8	AI and hyperscale expand addressable workloads; cold archive remains contested.
Catalysts	4	FY27 H2 deliveries, FY28 second hyperscaler and subscription activation.
Macro	7	Storage demand supports growth; price inflation and customer concentration remain.
Alpha	3	Reconcile GAAP expense and true earnings capture instead of applying adjusted profit blindly.
Risk classes	-3	Three distinct classes: supply/working capital, adoption/concentration, competition/dilution.
Total	43/60	Rounded Base 72. Both artifact and new workbook row use this score; this is not a manual override.

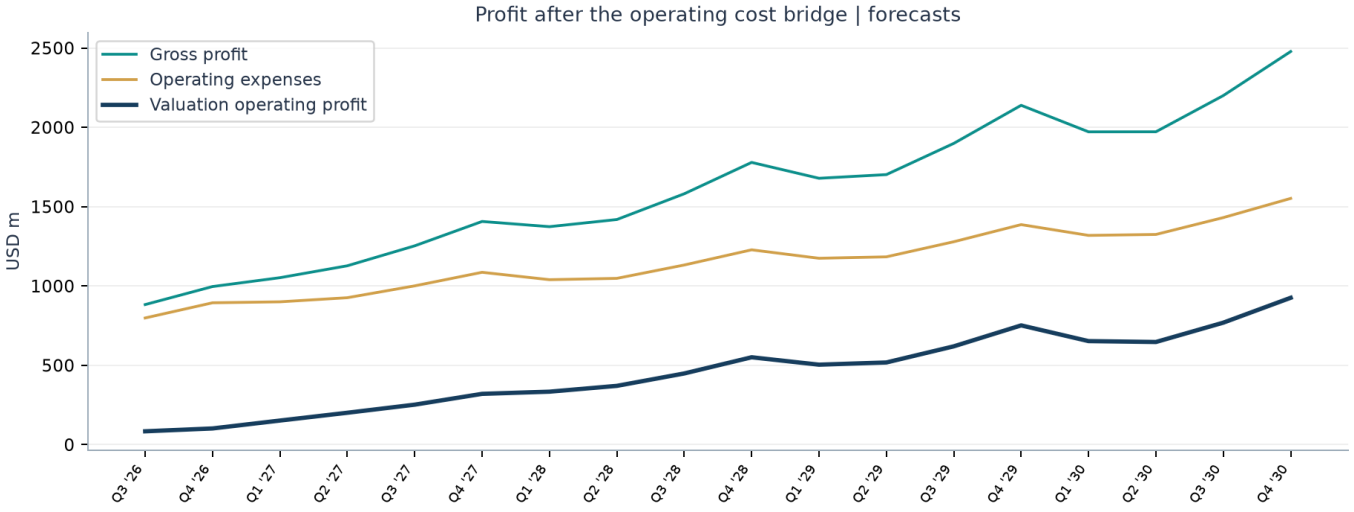
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	1,282.0	0.0	1,282.0
Q4 2026	1,430.8	0.0	1,430.8
Q1 2027	1,509.7	7.1	1,516.8
Q2 2027	1,619.3	9.6	1,628.9
Q3 2027	1,798.0	12.6	1,810.6
Q4 2027	2,018.2	16.2	2,034.4
Q1 2028	1,950.5	18.2	1,968.7
Q2 2028	2,000.0	20.9	2,020.9
Q3 2028	2,226.0	25.5	2,251.5
Q4 2028	2,504.5	29.6	2,534.1
Q1 2029	2,349.0	29.9	2,378.9
Q2 2029	2,370.1	31.9	2,402.0
Q3 2029	2,641.7	36.5	2,678.2
Q4 2029	2,975.7	41.8	3,017.4
Q1 2030	2,731.8	39.9	2,771.7
Q2 2030	2,723.2	40.3	2,763.4
Q3 2030	3,037.4	44.0	3,081.4
Q4 2030	3,422.6	48.1	3,470.7

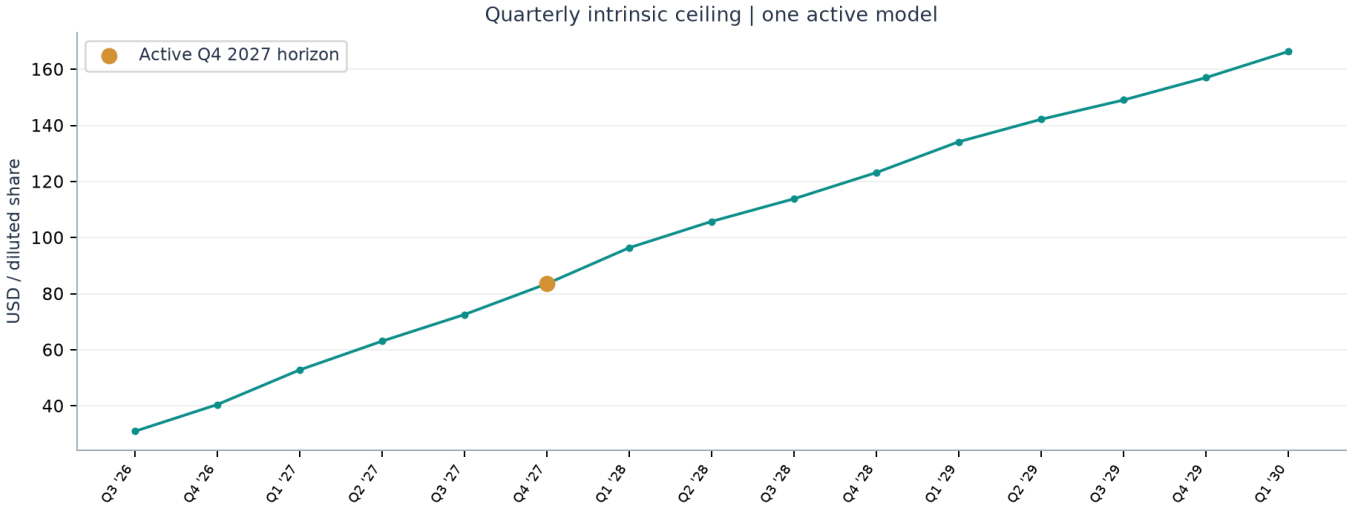
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	1,282.0	883.1	798.7	84.4	6.6%
Q4 2026	1,430.8	996.7	894.4	102.3	7.2%
Q1 2027	1,516.8	1,052.5	900.4	152.1	10.0%
Q2 2027	1,628.9	1,127.6	926.4	201.2	12.4%
Q3 2027	1,810.6	1,253.3	1,001.1	252.3	13.9%
Q4 2027	2,034.4	1,406.9	1,086.5	320.4	15.8%
Q1 2028	1,968.7	1,374.1	1,040.0	334.1	17.0%
Q2 2028	2,020.9	1,419.1	1,048.3	370.8	18.3%
Q3 2028	2,251.5	1,581.4	1,132.5	448.9	19.9%
Q4 2028	2,534.1	1,779.1	1,228.2	550.9	21.7%
Q1 2029	2,378.9	1,679.2	1,174.9	504.3	21.2%
Q2 2029	2,402.0	1,702.3	1,184.1	518.3	21.6%
Q3 2029	2,678.2	1,899.0	1,279.1	619.9	23.1%
Q4 2029	3,017.4	2,139.0	1,387.1	751.9	24.9%
Q1 2030	2,771.7	1,971.9	1,319.1	652.8	23.6%
Q2 2030	2,763.4	1,972.3	1,325.1	647.2	23.4%
Q3 2030	3,081.4	2,200.5	1,431.3	769.1	25.0%
Q4 2030	3,470.7	2,478.1	1,552.2	925.9	26.7%

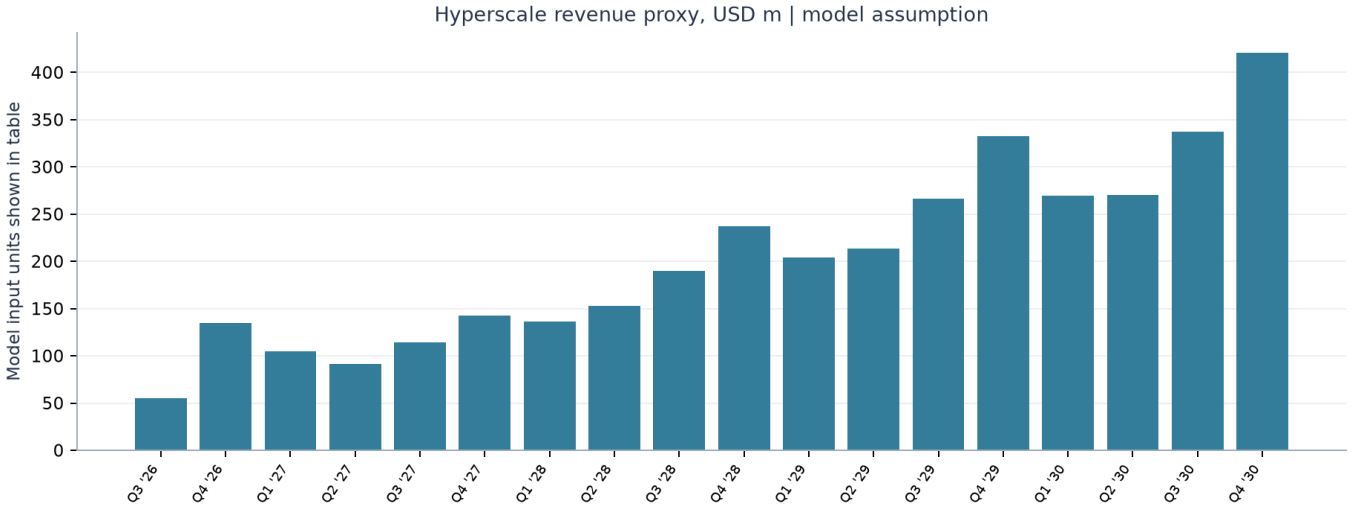
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	540.1	20x	348.900	30.96
Q4 2026	Q4 2026 to Q3 2027	707.9	20x	349.700	40.49
Q1 2027	Q1 2027 to Q4 2027	926.0	20x	350.500	52.84
Q2 2027	Q2 2027 to Q1 2028	1,108.1	20x	351.300	63.08
Q3 2027	Q3 2027 to Q2 2028	1,277.6	20x	352.100	72.57
Q4 2027	Q4 2027 to Q3 2028	1,474.2	20x	352.900	83.55
Q1 2028	Q1 2028 to Q4 2028	1,704.7	20x	353.700	96.39
Q2 2028	Q2 2028 to Q1 2029	1,874.9	20x	354.500	105.77
Q3 2028	Q3 2028 to Q2 2029	2,022.4	20x	355.300	113.84
Q4 2028	Q4 2028 to Q3 2029	2,193.4	20x	356.100	123.19
Q1 2029	Q1 2029 to Q4 2029	2,394.3	20x	356.900	134.17
Q2 2029	Q2 2029 to Q1 2030	2,542.9	20x	357.700	142.18
Q3 2029	Q3 2029 to Q2 2030	2,671.9	20x	358.500	149.06
Q4 2029	Q4 2029 to Q3 2030	2,821.1	20x	359.300	157.03
Q1 2030	Q1 2030 to Q4 2030	2,995.1	20x	360.100	166.35

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Hyperscale revenue proxy, USD m	Status
Q3 2026	55.000	Calendar model; fiscal-to-calendar monthly interpolation
Q4 2026	134.667	Calendar model; fiscal-to-calendar monthly interpolation
Q1 2027	105.000	Calendar model; fiscal-to-calendar monthly interpolation
Q2 2027	91.500	Calendar model; fiscal-to-calendar monthly interpolation
Q3 2027	114.000	Calendar model; fiscal-to-calendar monthly interpolation
Q4 2027	142.500	Calendar model; fiscal-to-calendar monthly interpolation
Q1 2028	136.000	Calendar model; fiscal-to-calendar monthly interpolation
Q2 2028	152.500	Calendar model; fiscal-to-calendar monthly interpolation
Q3 2028	190.000	Calendar model; fiscal-to-calendar monthly interpolation
Q4 2028	237.500	Calendar model; fiscal-to-calendar monthly interpolation
Q1 2029	204.000	Calendar model; fiscal-to-calendar monthly interpolation
Q2 2029	213.500	Calendar model; fiscal-to-calendar monthly interpolation

Quarter	Hyperscale revenue proxy, USD m	Status
Q3 2029	266.000	Calendar model; fiscal-to-calendar monthly interpolation
Q4 2029	332.500	Calendar model; fiscal-to-calendar monthly interpolation
Q1 2030	269.733	Calendar model; fiscal-to-calendar monthly interpolation
Q2 2030	270.433	Calendar model; fiscal-to-calendar monthly interpolation
Q3 2030	336.933	Calendar model; fiscal-to-calendar monthly interpolation
Q4 2030	421.167	Calendar model; fiscal-to-calendar monthly interpolation

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Core product and term software	703.9	65.1%	458.0
Q3 2026	Hyperscale DirectFlash product proxy	55.0	79.5%	43.7
Q3 2026	Subscription services	523.0	72.9%	381.3
Q4 2026	Core product and term software	737.8	65.3%	482.1
Q4 2026	Hyperscale DirectFlash product proxy	134.7	79.5%	107.1
Q4 2026	Subscription services	558.3	73.0%	407.6
Q1 2027	Core product and term software	809.7	65.4%	529.8
Q1 2027	Hyperscale DirectFlash product proxy	105.0	79.5%	83.5
Q1 2027	Subscription services	595.0	73.3%	436.4
Q2 2027	Core product and term software	893.3	65.4%	584.2
Q2 2027	Hyperscale DirectFlash product proxy	91.5	79.5%	72.7
Q2 2027	Subscription services	634.5	73.5%	466.4
Q3 2027	Core product and term software	1,000.0	65.4%	654.0
Q3 2027	Hyperscale DirectFlash product proxy	114.0	79.5%	90.6
Q3 2027	Subscription services	684.0	73.5%	502.7
Q4 2027	Core product and term software	1,146.7	65.4%	749.9
Q4 2027	Hyperscale DirectFlash product proxy	142.5	79.5%	113.3
Q4 2027	Subscription services	729.0	73.5%	535.8
Q1 2028	Core product and term software	1,072.0	66.1%	708.5
Q1 2028	Hyperscale DirectFlash product proxy	136.0	79.5%	108.1
Q1 2028	Subscription services	742.5	73.8%	548.2
Q2 2028	Core product and term software	1,072.0	66.5%	712.9
Q2 2028	Hyperscale DirectFlash product proxy	152.5	79.5%	121.2
Q2 2028	Subscription services	775.5	74.0%	573.9
Q3 2028	Core product and term software	1,200.0	66.5%	798.0
Q3 2028	Hyperscale DirectFlash product proxy	190.0	79.5%	151.1
Q3 2028	Subscription services	836.0	74.0%	618.6
Q4 2028	Core product and term software	1,376.0	66.5%	915.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Hyperscale DirectFlash product proxy	237.5	79.5%	188.8
Q4 2028	Subscription services	891.0	74.0%	659.3
Q1 2029	Core product and term software	1,250.0	66.8%	835.1
Q1 2029	Hyperscale DirectFlash product proxy	204.0	79.5%	162.2
Q1 2029	Subscription services	895.0	74.3%	665.3
Q2 2029	Core product and term software	1,228.3	67.0%	823.0
Q2 2029	Hyperscale DirectFlash product proxy	213.5	79.5%	169.7
Q2 2029	Subscription services	928.2	74.5%	691.5
Q3 2029	Core product and term software	1,375.0	67.0%	921.2
Q3 2029	Hyperscale DirectFlash product proxy	266.0	79.5%	211.5
Q3 2029	Subscription services	1,000.7	74.5%	745.5
Q4 2029	Core product and term software	1,576.7	67.0%	1,056.4
Q4 2029	Hyperscale DirectFlash product proxy	332.5	79.5%	264.3
Q4 2029	Subscription services	1,066.5	74.5%	794.5
Q1 2030	Core product and term software	1,404.0	67.2%	944.1
Q1 2030	Hyperscale DirectFlash product proxy	269.7	79.5%	214.4
Q1 2030	Subscription services	1,058.1	74.7%	790.4
Q2 2030	Core product and term software	1,362.3	67.4%	918.2
Q2 2030	Hyperscale DirectFlash product proxy	270.4	79.5%	215.0
Q2 2030	Subscription services	1,090.4	74.8%	815.6
Q3 2030	Core product and term software	1,525.0	67.4%	1,027.9
Q3 2030	Hyperscale DirectFlash product proxy	336.9	79.5%	267.9
Q3 2030	Subscription services	1,175.5	74.8%	879.2
Q4 2030	Core product and term software	1,748.7	67.4%	1,178.6
Q4 2030	Hyperscale DirectFlash product proxy	421.2	79.5%	334.8
Q4 2030	Subscription services	1,252.8	74.8%	937.1

Operating-cost derivation

Quarter	R&D including SBC	Sales and marketing including SBC	G&A including SBC
Q3 2026	317.9	366.0	114.8
Q4 2026	346.7	422.4	125.3
Q1 2027	333.0	428.5	138.0
Q2 2027	336.0	446.7	142.5
Q3 2027	357.0	500.0	142.5
Q4 2027	368.7	573.3	142.5
Q1 2028	370.5	512.2	155.0
Q2 2028	386.4	498.0	161.2
Q3 2028	410.6	557.5	161.2
Q4 2028	424.0	639.3	161.2
Q1 2029	422.8	574.4	173.8
Q2 2029	439.2	560.6	180.0
Q3 2029	466.7	627.5	180.0
Q4 2029	481.9	719.5	180.0
Q1 2030	474.5	645.8	193.3
Q2 2030	489.6	629.8	200.0
Q3 2030	520.2	705.0	200.0
Q4 2030	537.2	808.4	200.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	Incremental repricing after reference overlap	60%	0.0	0.0	0.0	0.0
Q3 2026	Additional subscription activation	55%	0.0	0.0	0.0	0.0
Q3 2026	Unrecovered NAND cost stress	25%	0.0	0.0	0.0	0.0
Q4 2026	Incremental repricing after reference overlap	60%	0.0	0.0	0.0	0.0
Q4 2026	Additional subscription activation	55%	0.0	0.0	0.0	0.0
Q4 2026	Unrecovered NAND cost stress	25%	0.0	0.0	0.0	0.0
Q1 2027	Incremental repricing after reference overlap	60%	5.3	2.9	0.3	1.5
Q1 2027	Additional subscription activation	55%	7.1	5.0	1.3	2.0
Q1 2027	Unrecovered NAND cost stress	25%	0.0	-6.5	0.0	-1.6
Q2 2027	Incremental repricing after reference overlap	60%	7.3	4.0	0.4	2.1
Q2 2027	Additional subscription activation	55%	9.5	6.7	1.7	2.7
Q2 2027	Unrecovered NAND cost stress	25%	0.0	-7.1	0.0	-1.8
Q3 2027	Incremental repricing after reference overlap	60%	9.8	5.4	0.6	2.9
Q3 2027	Additional subscription activation	55%	12.3	8.6	2.2	3.5
Q3 2027	Unrecovered NAND cost stress	25%	0.0	-8.0	0.0	-2.0
Q4 2027	Incremental repricing after reference overlap	60%	13.0	7.2	0.8	3.8
Q4 2027	Additional subscription activation	55%	15.3	10.7	2.8	4.4
Q4 2027	Unrecovered NAND cost stress	25%	0.0	-9.2	0.0	-2.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	Incremental repricing after reference overlap	60%	13.9	7.7	0.8	4.1
Q1 2028	Additional subscription activation	55%	17.8	12.5	3.2	5.1
Q1 2028	Unrecovered NAND cost stress	25%	0.0	-8.6	0.0	-2.1
Q2 2028	Incremental repricing after reference overlap	60%	15.7	8.6	0.9	4.6
Q2 2028	Additional subscription activation	55%	20.9	14.7	3.8	6.0
Q2 2028	Unrecovered NAND cost stress	25%	0.0	-8.6	0.0	-2.1
Q3 2028	Incremental repricing after reference overlap	60%	19.5	10.7	1.2	5.7
Q3 2028	Additional subscription activation	55%	25.1	17.6	4.5	7.2
Q3 2028	Unrecovered NAND cost stress	25%	0.0	-9.6	0.0	-2.4
Q4 2028	Incremental repricing after reference overlap	60%	22.4	12.3	1.3	6.6
Q4 2028	Additional subscription activation	55%	29.4	20.6	5.3	8.4
Q4 2028	Unrecovered NAND cost stress	25%	0.0	-11.0	0.0	-2.8
Q1 2029	Incremental repricing after reference overlap	60%	20.3	11.2	1.2	6.0
Q1 2029	Additional subscription activation	55%	32.2	22.6	5.8	9.2
Q1 2029	Unrecovered NAND cost stress	25%	0.0	-10.0	0.0	-2.5
Q2 2029	Incremental repricing after reference overlap	60%	20.0	11.0	1.2	5.9
Q2 2029	Additional subscription activation	55%	36.2	25.3	6.5	10.4
Q2 2029	Unrecovered NAND cost stress	25%	0.0	-9.8	0.0	-2.5
Q3 2029	Incremental repricing after reference overlap	60%	22.3	12.3	1.3	6.6
Q3 2029	Additional subscription activation	55%	42.0	29.4	7.6	12.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	Unrecovered NAND cost stress	25%	0.0	-11.0	0.0	-2.8
Q4 2029	Incremental repricing after reference overlap	60%	25.6	14.1	1.5	7.5
Q4 2029	Additional subscription activation	55%	48.0	33.6	8.6	13.7
Q4 2029	Unrecovered NAND cost stress	25%	0.0	-12.6	0.0	-3.2
Q1 2030	Incremental repricing after reference overlap	60%	22.8	12.5	1.4	6.7
Q1 2030	Additional subscription activation	55%	47.6	33.3	8.6	13.6
Q1 2030	Unrecovered NAND cost stress	25%	0.0	-11.2	0.0	-2.8
Q2 2030	Incremental repricing after reference overlap	60%	22.1	12.2	1.3	6.5
Q2 2030	Additional subscription activation	55%	49.1	34.3	8.8	14.0
Q2 2030	Unrecovered NAND cost stress	25%	0.0	-10.9	0.0	-2.7
Q3 2030	Incremental repricing after reference overlap	60%	24.8	13.6	1.5	7.3
Q3 2030	Additional subscription activation	55%	52.9	37.0	9.5	15.1
Q3 2030	Unrecovered NAND cost stress	25%	0.0	-12.2	0.0	-3.1
Q4 2030	Incremental repricing after reference overlap	60%	28.4	15.6	1.7	8.4
Q4 2030	Additional subscription activation	55%	56.4	39.5	10.1	16.1
Q4 2030	Unrecovered NAND cost stress	25%	0.0	-14.0	0.0	-3.5

Claim decisions, overlap and triggers

Signed hyperscalers

source: Aug 10 agreement and Q2 call, Sep 23 outlook

probability: 1

Conditional: Reference FY28 hyperscale revenue proxy $450m; actual company allocation undisclosed

overlap: 100% of the signed-win increment embedded in reference outlook. Zero extra addition.

bridge: Product GP proxy 79.5%, with engineering and selling costs in the full cost schedule

timing: FY27 predominantly H2; second win significant FY28 onward

trigger: Customer acceptance and revenue recognition; reduce proxy if commitments slip

Incremental repricing after reference overlap

source: Q1/Q2 issuer calls, 2026-05-27 and 2026-08-26

probability: 0.6

Conditional: Additional 1.0%-2.5% price on 65% of core product revenue from CY2027; remaining 35% treated as protected/fixed terms

overlap: Existing announced increases fully embedded. This is only future repricing above reference.

bridge: 55% of conditional price revenue reaches GP after incremental components/fulfillment; 6% incremental selling cost. Weighted OP = p x revenue x 49%.

timing: 2027 quarterly order conversion; no new premium assigned to 2026 commitments

bounds: 0%-3% incremental repricing; 25%-65% GP retention; p 40%-75%

trigger: Rising realized product prices with stable unit/capacity demand; remove if customers reduce configurations faster than prices rise

Additional subscription activation

source: Q2 $277m TCV and 44% RPO growth, Aug 26

probability: 0.55

Conditional: 1.2%-4.5% incremental quarterly subscription revenue above a 20%-30% growth reference

overlap: ARR, TCV and RPO are the same contracts at different measurement stages; only faster activation residual counted, no TCV addition.

bridge: 70% incremental GP after service fleet depreciation and support, 18% incremental customer success/selling expense; weighted OP p x delta x 52%

timing: CY2027 onward; measured consumption/activation, not signing date

bounds: 0%-5% incremental revenue, 45%-60% contribution margin

trigger: ARR growth catches RPO; utilization and activated services revenue improve

Unrecovered NAND cost stress

source: Q2 call and 10-Q supply purchases, Aug-Sep 2026

probability: 0.25

Conditional: 0.8% of core product revenue extra unpassed component cost from CY2027

overlap: Reference includes current costs; only renewed inflation or wrong prebuy mix is stressed. Applies to original revenue, so not charged twice against repricing increment.

bridge: Full conditional cost reduces GP and OP, zero revenue change.

timing: Inventory/prepayment consumption into delivered product

bounds: 0%-1.5% extra cost; p 15%-45%

trigger: Inventory write-down, further prepayments, widening delivered-cost/price lag

Market size and new software

source: Sep 23 four-vector framework

probability: 0.6

Conditional: Issuer expects three new vectors ~20% revenue FY30; not a binding order or separate revenue addition

overlap: EXA/modern software already included in core-product and subscription vectors; a second total TAM multiplier would double count.

bridge: Reference funds R&D and sales capacity; new modules require qualification, sales conversion and recognition.

timing: FY28-FY30

trigger: Disclosed standalone growth-vector economics and contracted customer deployments

Remaining bounded uncertainties

- Revenue by strategic growth vector and hyperscaler contract value are not disclosed. Hyperscale is an explicit bounded allocation proxy, not guidance.

- Fiscal-to-calendar model uses equal monthly recognition within each fiscal quarter; true monthly mix is unavailable.

- Future SBC, share repurchases and product cost mix are uncertain; GAAP bridge and dilution are model assumptions.

- Full call Q&A and Sep 23 slide deck were not retrieved; the two official prepared-remarks documents, Q2 deck, release, 10-Q and Sep 23 outlook support the model.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1 FY2027 earnings deck | 2026-05-27

https://s21.q4cdn.com/687136699/files/doc_financials/2027/q1/Everpure-Q1FY27-Earnings-Slides.pdf

Archived source SHA-256: f2d4739d963f5e5eb9384954784a2d74c691bf6070316a75c92ebdb59cd97d4e

[2] Q1 FY2027 management prepared remarks | 2026-05-27

https://s21.q4cdn.com/687136699/files/doc_financials/2027/q1/Everpure-Q1FY27-Prepared-Remarks.pdf

Archived source SHA-256: b1f0630d0b6409909f66f0ea069ca6e9279929a7c66116312509cc3cdd11a553

[3] Q2 FY2027 management prepared remarks | 2026-08-26

https://s21.q4cdn.com/687136699/files/doc_financials/2027/q2/Q2FY27-Prepared-Remarks.pdf

Archived source SHA-256: 02b7c97788292f24354c93e306a638cc6d7edaa13280e63133ebec70f6db14a3

[4] Q2 FY2027 earnings presentation | 2026-08-26

https://s21.q4cdn.com/687136699/files/doc_financials/2027/q2/Q2FY27-Earnings-Slides.pdf

Archived source SHA-256: bbad8fd73ad6f953c39cbe1451648d589dcc173509d8c9281bbe9a24221e338e

[5] Q2 FY2027 Form 10-Q issuer copy | 2026-09-04

https://d18rn0p25nwr6d.cloudfront.net/CIK-0001474432/3fb0d892-1ca3-4214-a166-03182fb46220.pdf

Archived source SHA-256: c697b8a490a959122337839f96d1e4a36a324e8d580af55cc69baaa684f5fe32

[6] Q2 FY2027 results issuer PDF | 2026-08-26

https://www.everpuredata.com/content/dam/pdf/en/quarter-report/q2-2027.pdf

Archived source SHA-256: 4e094c14afd10600415e55b4bf75c49545e642c551f2f2c3323f0b2d7f1a85f8

[7] Financial Analyst Meeting growth outlook | 2026-09-23

https://investor.everpuredata.com/news-and-events/press-releases/press-release-details/2026/Everpures-Expanding-Business-Model-Fuels-New-Long-Term-Outlook/default.aspx

[8] Second top-five hyperscaler design win | 2026-08-10

https://investor.everpuredata.com/news-and-events/press-releases/press-release-details/2026/Everpure-Lands-New-Design-Win-with-Second-Top-Five-Hyperscaler/default.aspx

[9] FY2026 Form 10-K | 2026-03-26

https://www.sec.gov/Archives/edgar/data/1474432/000147443226000043/a10kfy2026.pdf

[10] Everpure IR quote snapshot | 2026-10-06

https://investor.everpuredata.com/investor-home/default.aspx

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.